



SALT CREEK
ADVISORY

Early childhood *education*.

Acquisition trends & buyer criteria

What school owners should know about today's buyers, what schools are selling for, and how to prepare. Prepared by Salt Creek Advisory.

The market wants *your school*.

\$70B+

U.S. child care market today

~\$110B

projected by 2033

300+

schools at Cadence Education
alone

4x to 7x

EBITDA for quality centers

Consolidators need supply

Platforms grow by buying good local schools.
They cannot build your enrollment or
community trust, so they pay for it.

Enrollment is recurring revenue

Weekly tuition, waitlists, and growing state
pre-K funding make quality schools durable
businesses.

It is a seller's moment

More buyers than quality schools for sale.
Owners who prepare choose among offers.

Sources: Grand View Research, U.S. child care market; published childcare valuation benchmarks; company announcements. Market context, not a valuation of any specific school.

A generational shift, *in your favor.*

01

Demand far outstrips supply

About half of Americans live in a child care desert. A full school with a waitlist is what a buyer cannot build quickly.

02

Public money is moving in

States keep expanding pre-K and child care subsidies, adding funded seats and revenue stability.

03

Staffing is the constraint

Teachers are scarce. Established schools with tenured staff are worth more to buyers.

04

Consolidation is accelerating

PE-backed platforms are racing for quality schools. More independents join a platform every year.

What this means for you: *a scarce, staffed, full school is what buyers must buy because they cannot build it.*

Sources: Center for American Progress, licensed child care deserts; The Century Foundation, child care supply and staffing; state pre-K program announcements.

We sat on the *buyer's side* of the table.

Connor Pitts spent three years at Cadence Education, one of the largest early education platforms in the country, working through more than 50 school acquisitions. We learned this industry inside the buyer.

50+

school transactions Connor worked through at Cadence

3 years

inside one of the country's largest early education platforms

300+

schools in the Cadence network today

How buyers find schools

What gets a school onto a platform's list, and what gets it passed over.

How buyers value them

The levers that move price: enrollment, capacity, staff tenure, and real estate.

Why deals fall apart

The traps that kill deals, and how to fix them before going to market.

Early childhood education is not a vertical we dabble in. It is our bread and butter.

The buyers, *by name.*

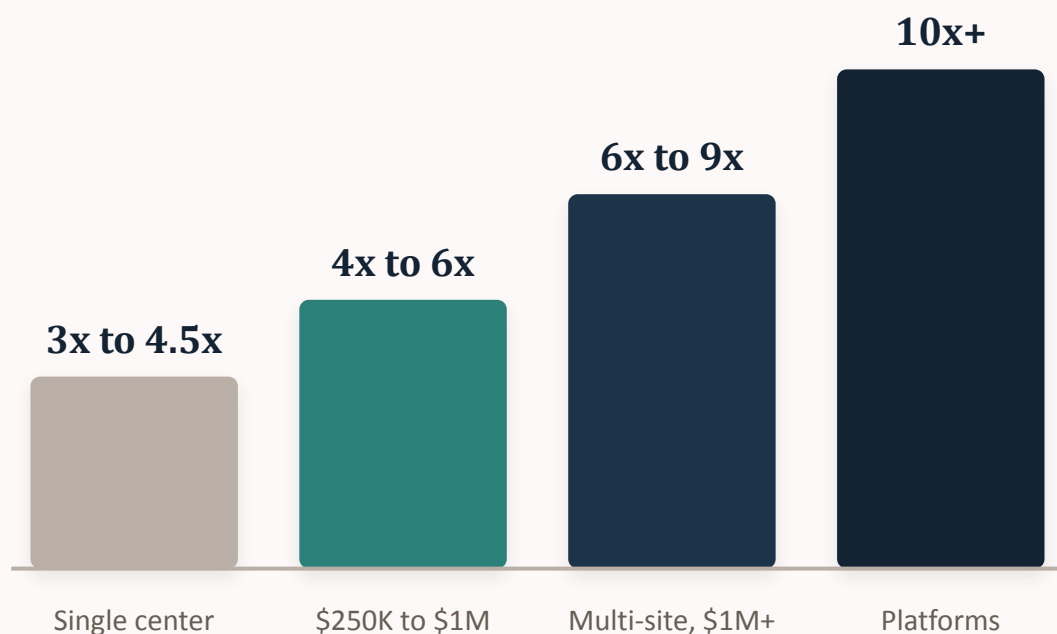
Buyer	Profile	What that means for an owner
NATIONAL PLATFORMS		
Cadence Education	National, 300+ schools	Buys strong community schools and keeps the name, staff, and identity.
Endeavor Schools	PE-backed, education-focused	Preserves each school's brand and philosophy, adds back-office support.
Busy Bees North America	Global operator, growing in U.S.	One of the world's largest early education groups, buying across North America.
Learning Care Group	Multi-brand national operator	Several national brands; buys single schools and regional groups.
REGIONAL & PE-BACKED PLATFORMS, BY GEOGRAPHY		
Big Blue Marble Academy	South · Leeds Equity-backed	Actively buying community schools across the Southeast.
New Horizon Academy	Midwest · family-owned, 100+ schools	Minneapolis platform buying quality schools in Midwest markets.
The Learning Experience	East · PE-backed national brand	East Coast-heavy brand backed by Golden Gate Capital.
Spring Education Group	West · PE-backed schools operator	California-anchored operator built through acquisition.

We know how these buyers think. Some pay the most; some protect your name and your staff best. The right process finds the buyer who does both.

Representative acquirers based on public activity, not a claim of interest. Family offices and independent sponsors are active too.

What drives a *premium*.

BIGGER SCHOOLS, BIGGER MULTIPLES



WHAT BUYERS PAY UP FOR

- ✓ Full enrollment, with a waitlist
- ✓ Licensed capacity to grow
- ✓ A director and teachers who stay
- ✓ Infant and toddler rooms
- ✓ Strong reputation and ratings
- ✓ Clean, simple books

Owned real estate is valued separately, and often adds to the total.

Thinking about selling in the next 12 to 24 months? The time to prepare is now.

Illustrative ranges from published childcare benchmarks; every school is valued on its own facts.

How we'd *work*.

1 STEP ONE, ALWAYS

A free, confidential *valuation.*

We will tell you what your school is likely worth, and what would make it worth more. Yours to keep, whether or not we work together.

No cost. No obligation.

2

Engage, with skin in the game

A simple letter and a \$5,000 deposit. Credited at close, returned if you step away.

3

5% success fee, paid at close

Only if we close with a buyer we introduce. No retainers, no monthly fees.

4

Non-exclusive

You stay free to pursue other paths. Our fee covers only our buyers.

5

Terminate anytime

No lock-in and no penalty. If we are not earning it, you walk.

One goal: *the best outcome for you, your staff, and your families.* Final terms live in a simple engagement letter.

We know this industry *from the inside*.

Salt Creek Advisory is a family-owned investment bank founded by brothers Jack and Connor Pitts. Early childhood education is the industry we know best: Connor spent three years inside Cadence Education, working through more than 50 school transactions.



Jack Pitts

CO-FOUNDER & PRINCIPAL

Jack leads client relationships and deal advisory. After Vanderbilt, he built his career in private equity at Blue Wolf Capital and Kingfish Capital.

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Connor Pitts

CO-FOUNDER & PRINCIPAL

Connor trained at Brown Gibbons Lang, then spent three years at Cadence Education, working through 50+ school acquisitions.

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Curious what your school is worth? The valuation is free, confidential, and carries no obligation. One conversation gets you an honest read.